

LOS ALTOS SCHOOL DISTRICT

Bond Program Update



February 9, 2026

Photo Credit: Jennah Pendleton/Los Altos Town Crier

ISOM ADVISORS

GENERAL OBLIGATION BOND PROGRAM

Bond Authorizations

Strong Voter Support

Los Altos SD voters have passed three bond authorizations since 1998

Date	Bond Authorization Size	Support	Final Maturity
November 3, 1998 (Measure H)	\$94,700,000	75.8% (66.7% required)	2023
November 4, 2014 (Measure N)	\$150,000,000	57.4% (55.0% required)	2044
November 5, 2024 (Measure EE)	\$350,000,000	56.2% (55.0% required)	2061*

- All the bonds from the 1998 Measure H and 2014 Measure N authorizations have been issued
- The District has \$350 million in authorized but unissued bonds remaining from the 2024 Measure EE authorization

**May change based on repayment term of bonds remaining to be issued
Source: Smartvoter; Ballotpedia*

GENERAL OBLIGATION BOND PROGRAM

Measure EE Bond Analysis

Original Financing Plan

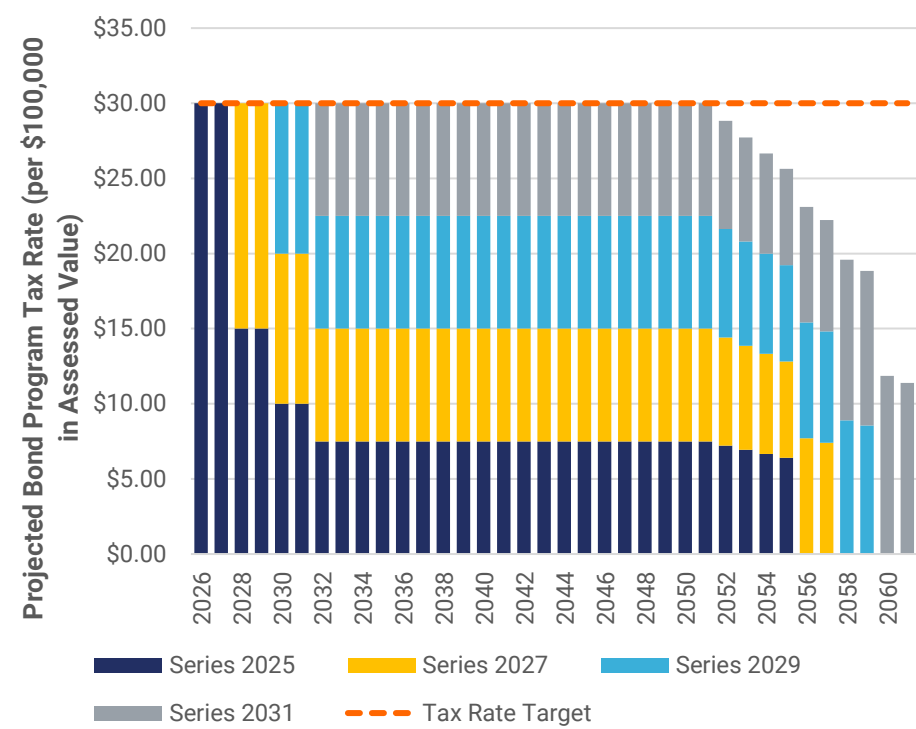
Los Altos SD Bond Proceeds with Various Assumptions ⁽¹⁾				
Tax Rate per \$100,000 of AV*	Assessed Value (AV) Projection	Estimated Borrowing Rate	Bond Series	Total Bond Proceeds
\$30.00	3.50%	5.00%	Three Series (2025, 2027, 2029)	\$286,000,000
\$30.00	3.50%	5.00%	Four Series (2025, 2027, 2029, 2031)	\$313,000,000
\$30.00	4.00%	5.00%	Four Series (2025, 2027, 2029, 2031)	\$339,000,000
\$30.00	4.00%	4.75%	Four Series (2025, 2027, 2029, 2031)	\$350,000,000
\$30.00	4.00%	4.50%	Four Series (2025, 2027, 2029, 2031)	\$362,000,000
(1) Assumes 30-year bond terms; Preliminary – Subject to change Source: Isom Advisors				

GENERAL OBLIGATION BOND PROGRAM

Measure EE Design

Tax Rate Target of \$30 per \$100K in AV

Projected Measure EE Bond Tax Rates



Measure EE was designed to allow for the issuance of \$350 million in bonds within the tax rate target

Expected Issuance Schedule Based on Original Financing Plan

Series	Par Amount
Series 2025 (moved to Spring 2026)	\$90 million
Series 2027	\$85 million
Series 2029	\$84 million
Series 2031	\$91 million

Note: All bond program tax rates expressed per \$100,000 in assessed value
Projected revenues assume an annual assessed valuation growth of 4.0% per year.

GENERAL OBLIGATION BOND PROGRAM

Bond Resolution

Authorizing the Issuance of Bonds

- **Resolution Authorizing the Sale of Measure EE Bonds:** Board Authorizes the issuance of Measure EE bonds and sets a number of parameters:
 - ✓ Not to Exceed Par Amount: \$95 million
 - ✓ Structure: Traditional Current Interest Bonds
 - ✓ Not to Exceed Underwriter's Discount: \$3 per bond
- The resolution also approves a number of documents in form:
 - ✓ Preliminary Official Statement
 - ✓ Bond Purchase Agreement (BPA)

GENERAL OBLIGATION BOND PROGRAM

Good Faith Estimates

Key Bond Statistics

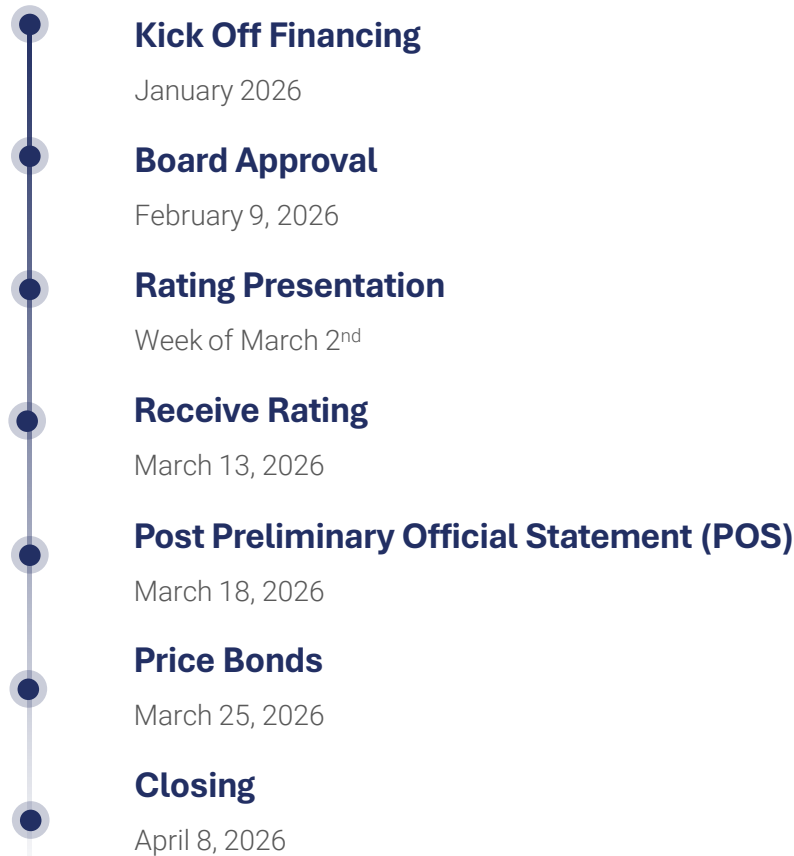
- The resolution provides good faith estimates for a number of key bond statistics:
 - ✓ True Interest Cost of the Series A Bonds: 4.85%
 - ✓ Financing Costs: \$525,000
 - ✓ Building Fund Deposit: \$94,760,000
 - ✓ Total Repayment Amount: \$211,720,833

GENERAL OBLIGATION BOND PROGRAM

Issuance Schedule

Bond Issuance in Spring 2026

The bond issuance process typically takes two to three months



REGULATORY DISCLOSURES & ADDITIONAL INFORMATION

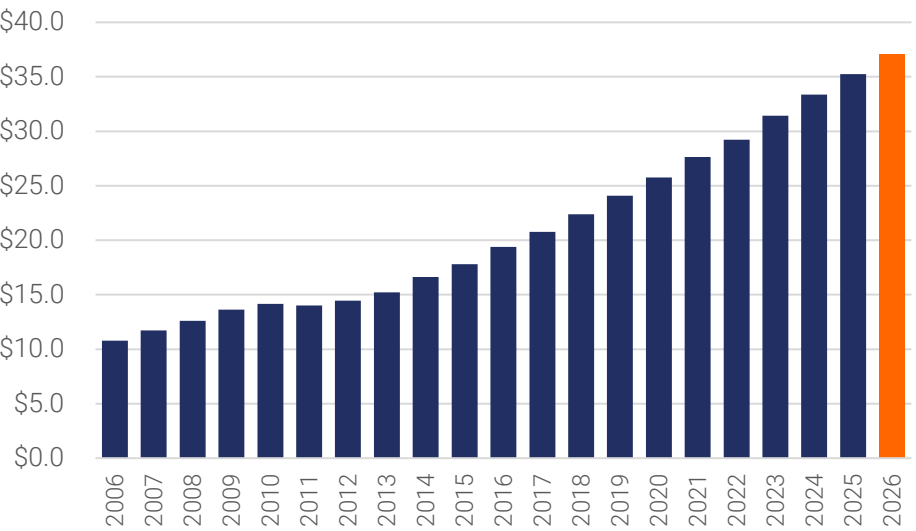
GENERAL OBLIGATION BOND PROGRAM

Assessed Valuation

2025-26 AV is \$37.1 billion

Assessed values are often significantly below market values due to Prop 13

History of Assessed Value Growth*



Timeframe	Average Annual Growth Rate
2006 to present	6.39%
2016 to present	6.70%
2021 to present	6.05%

*Amount assessed by billions.
Source: California Municipal Statistics, Inc., Santa Clara County

Assessed Value Per Single Family Residential Parcel (2025-26)

Assessed Value per Parcel	Number of Parcels	% of Parcels
\$0-\$999,999	3,252	27.3%
\$1,000,000 to \$1,999,999	2,523	21.2%
\$2,000,000 to \$2,999,999	2,076	17.4%
\$3,000,000 to \$3,999,999	1,695	14.2%
\$4,000,000 to \$4,999,999	1,146	9.6%
\$5,000,000+	1,223	10.3%

GENERAL OBLIGATION BOND PROGRAM

Bond Program Implementation

Multiple Series

- **Stay Within Tax Rate Target:** Issuing the bonds over multiple series provides time for the tax base or assessed valuation to grow, which allows the District to issue additional bonds within the same tax rate target of \$30 per \$100,000 in assessed value
- **Stay Within Bonding Capacity:** It also allows the District to manage its statutory bonding capacity
- **Mitigate Interest Rate Risk:** Issuing the bonds over multiple series allows the District to mitigate interest rate risk (similar to the concept of dollar cost averaging for investments)
- **Meet Reasonable Expectations Requirement:** Tax law requires that the District have a reasonable expectation to spend down 85% of the bond proceeds within three years of the bond issuance (per series of bonds). Most school districts do not have the capacity to spend down the full amount of the authorization within three years
- **Lower Interest Expense:** Timing the bond issuances closer to when the District needs the funding lowers the interest expense to taxpayers

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- Isom Advisors represents that in connection with the issuance of municipal securities, Isom Advisors may receive compensation from an Issuer or Obligated Person for services rendered, which compensation is contingent upon the successful closing of a transaction and/or is based on the size of a transaction. Consistent with the requirements of MSRB Rule G-42, Isom Advisors hereby discloses, that such contingent and/or transactional compensation may present a potential conflict of interest regarding Isom Advisors' ability to provide unbiased advice to enter into such transaction. The contingent fee arrangement creates an incentive for Isom Advisors to recommend unnecessary financings or financings that are disadvantageous to the client, or to advise the client to increase the size of the issue. This potential conflict of interest will not impair Isom Advisors' ability to render unbiased and competent advice or to fulfill its fiduciary duty to the client.
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- Isom Advisors' fees under this potential agreement, may be a fixed amount established at the outset of the Agreement. The amount is usually based upon an analysis by the client and Isom Advisors of, among other things, the expected duration and complexity of the transaction and the Scope of Services to be performed by Isom Advisors. This form of compensation presents a potential conflict of interest because, if the transaction requires more work than originally contemplated, Isom Advisors may suffer a loss. Thus, Isom Advisors may recommend less time-consuming alternatives, or fail to do a thorough analysis of alternatives. This conflict of interest will not impair Isom Advisors' ability to render unbiased and competent advice or to fulfill its fiduciary duty to the client.
- The fee paid to Isom Advisors increases the cost of investment to client. The increased cost occurs from compensating Isom Advisors for municipal advisory services provided.
- Isom Advisors serves a wide variety of other clients that may from time to time have interests that could have a direct or indirect impact on the interests of another Isom Advisors client. For example, Isom Advisors serves as municipal advisor to other municipal advisory clients and, in such cases, owes a regulatory duty to such other clients. These other clients may, from time to time and depending on the specific circumstances, have competing interests. In acting in the interests of its various clients, Isom Advisors could potentially face a conflict of interest arising from these competing client interests. Isom Advisors fulfills its regulatory duty and mitigates such conflicts through dealing honestly and with the utmost good faith with its clients.
- Isom Advisors does not have any affiliate that provides any advice, service, or product to or on behalf of the client that is directly or indirectly related to the municipal advisory activities to be performed by Isom Advisors;
- Isom Advisors has not made any payments directly or indirectly to obtain or retain its clients municipal advisory business;
- Isom Advisors has not received any payments from third parties to enlist Isom Advisors' recommendation to its clients of its services, any municipal securities transaction or any municipal finance product;
- Isom Advisors has not engaged in any fee-splitting arrangements involving Isom Advisors and any provider of investments or services to its clients;
- Isom Advisors does not have any legal or disciplinary event that is material to its clients evaluation of the municipal advisory or the integrity of its management or advisory personnel.
- Isom Advisors does not act as principal in any of the transaction(s) related to this Agreement.
- Randall Merritt, a Managing Principal, previously worked at Raymond James & Associates, Inc. from December 2015 until December 2023. Urban's relationships with Raymond James and all other investment banks are conducted in an arm's length manner, and any recommendations are independent of any prior employment or other relationships.

Legal Events and Disciplinary History

Isom Advisors does not have any legal events and disciplinary history on its Form MA and Form MA-I, which includes information about any criminal actions, regulatory actions, investigations, terminations, judgments, liens, civil judicial actions, customer complaints, arbitrations and civil litigation. The District may electronically access Isom Advisors' the most recent Form MA and each most recent Form MA-I filed with the Commission at the following website: www.sec.gov/edgar/searchedgar/companysearch.html.

There have been no material changes to a legal or disciplinary event disclosure on any Form MA or Form MA-I filed with the SEC.